

E-commerce leads India's salary surge, but market consolidation and gig economy challenges loom

ECommerce is leading India's salary **sweepstakes**, **mirroring** the sector's **scorching** growth rate. The **outlook** remains positive with domestic ecommerce revenue **projected** to double in the next five years.

Admittedly, the growth is on a small base, relative to the size of the economy, but structural **factors** such as **internet penetration** and smartphone ownership **are** yet to **play out** fully. A **bubbling** startup **ecosystem** that **throws up** a growing tribe of **unicorns** suggests ecommerce **is** going to remain talent-hungry for some time.

All of this is **heartening** because most jobs ecommerce is creating did not **exist** a couple of **decades** ago. As **digitisation** spreads across the economy, the **scope** for ecommerce - and its role in creating formal jobs - **should** expand. It helps that ecommerce has already become India's top paymaster.

The flip side to the rise of India's ecommerce **is** market **consolidation**. This happens fast in the digital economy, testing institutional capacity to slow it down to a manageable pace.

Excessive consolidation limits an industry's ability to create jobs, and ecommerce is **unlikely** to be an exception although it is working on a bigger canvas than most traditional industries.

Most ecommerce verticals are already dominated by two or three players, **overwhelmingly** so in some segments such as digital payments where policy **intervention** has been less than effective in attracting more players with deep pockets. e-Marketplaces have been subjected to heavy regulation to **curb predatory** pricing, yet, newer forms such as quick commerce are reviving similar concerns.



Indian policymakers can **derive** satisfaction from the employment intensity of ecommerce. But it comes bundled with low social security of the gig economy. This is a step up from informal employment in India's traditional retail industry, which typically draws a big **chunk** of surplus labour from agriculture. eCommerce can't **rival** this labour **absorption** capacity but can **offset** it through better pay. Its growth cannot be at too much cost to traditional retail.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

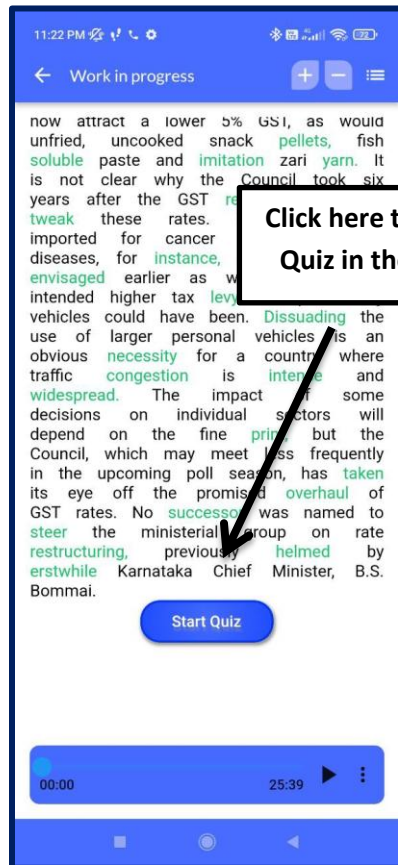
1. **Surge** (noun) – Increase, rise, spike, upswing, escalation वृद्धि
2. **Market consolidation** (noun) – a period when a market's price moves within a range, rather than continuing a long-term trend. It's also known as a period of indecision. बाज़ार का एकीकरण
3. **Gig economy** (noun) – a free market system in which temporary positions are common and organizations hire independent workers for short-term commitments गिग अर्थव्यवस्था (स्वतंत्र और अस्थायी काम का ढांचा)
4. **Loom** (verb) – Emerge, appear, threaten, hover, overhang प्रकट होना/मंडराना
5. **Sweepstake** (noun) – Competition, lottery, contest, draw, betting प्रतियोगिता/लॉटरी
6. **Mirror** (verb) – Reflect, represent, resemble, echo, emulate प्रतिबिंबित करना
7. **Scorching** (adjective) – Intense, rapid, blazing, sweltering, searing झुलसाने वाला
8. **Outlook** (noun) – Perspective, forecast, viewpoint, scenario, prediction दृष्टिकोण
9. **Project** (verb) – Predict, estimate, forecast, calculate, plan अनुमान लगाना
10. **Admittedly** (adverb) – Confessedly, undeniably, agreed, indeed, unquestionably निश्चित रूप से
11. **Internet penetration** (noun) – the percentage of a population that has access to the internet इंटरनेट की पहुंच
12. **Play out** (phrasal verb) – Unfold, occur, develop, materialize, happen घटित होना
13. **Bubbling** (adjective) – Thriving, flourishing, growing, effervescent, lively फलता-फूलता हुआ
14. **Throw up** (phrasal verb) – Generate, produce, create, result in, bring forth उत्पन्न करना
15. **Unicorn** (noun) – a start-up company valued at more than a billion dollars, typically in the software or technology sector. 1 बिलियन डॉलर से अधिक मूल्य वाली कंपनी
16. **Heartening** (adjective) – Encouraging, uplifting, inspiring, reassuring, cheering उत्साहजनक
17. **Exist** (verb) – Live, persist, occur, be, endure अस्तित्व में होना
18. **Decade** (noun) – Period of ten years दशक
19. **Digitisation** (noun) – Conversion to digital, digital transformation, automation, modernization, virtualization डिजिटलीकरण

20. **Consolidation** (noun) – Integration, unification, strengthening, centralization, merger समेकन
21. **Unlikely** (adjective) – Improbable, doubtful, implausible, questionable, unfeasible असंभावित
22. **Intervention** (noun) – Interference, mediation, involvement, action, intercession हस्तक्षेप
23. **Curb** (verb) – Restrict, control, limit, suppress, restrain रोक लगाना
24. **Predatory** (adjective) – Exploitative, aggressive, monopolistic, ruthless, oppressive शोषणकारी
25. **Derive** (verb) – Obtain, extract, gain, acquire, deduce प्राप्त करना
26. **Chunk** (noun) – Portion, piece, segment, section, part टुकड़ा
27. **Rival** (adjective) – Competing, opposing, contending, challenging, adversarial प्रतिस्पर्धी
28. **Absorption** (noun) – Assimilation, integration, incorporation, intake, inclusion अवशोषण
29. **Offset** (verb) – Compensate, counterbalance, neutralize, balance, adjust क्षतिपूर्ति करना

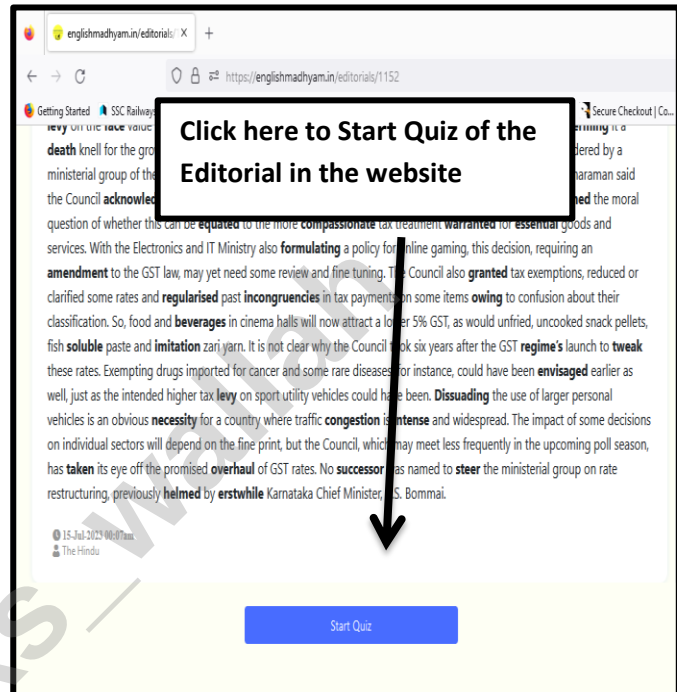
Summary of the Editorial

1. **E-commerce as Salary Leader:** The e-commerce sector is driving salary growth in India, reflecting its rapid expansion.
2. **Positive Growth Outlook:** Domestic e-commerce revenue is expected to double in the next five years, showcasing its robust potential.
3. **Small Base Advantage:** Despite its smaller base compared to the overall economy, structural factors like internet penetration and smartphone ownership signal future growth.
4. **Startup Ecosystem's Role:** A thriving startup ecosystem and the emergence of unicorns indicate sustained demand for talent in e-commerce.
5. **New Job Opportunities:** The sector is creating job roles that did not exist two decades ago, highlighting its transformative impact on employment.
6. **Digital Economy Expansion:** E-commerce growth is linked to the broader digitization of the Indian economy, promising more formal job creation.
7. **Top Paymaster Status:** E-commerce has emerged as the leading sector for salaries in India.
8. **Market Consolidation Concerns:** Rapid consolidation within the digital economy poses challenges to job creation and competition.
9. **Industry Concentration:** Most e-commerce verticals are dominated by two or three players, limiting market competition.
10. **Digital Payments Monopoly:** Segments like digital payments suffer from lack of effective policy interventions to encourage more competitors.
11. **Regulatory Challenges:** Heavy regulations in e-marketplaces aim to curb practices like predatory pricing, yet new issues like quick commerce raise similar concerns.
12. **Gig Economy Issues:** While creating jobs, the e-commerce sector faces criticism for offering low social security to gig workers.
13. **Transition from Informal Jobs:** E-commerce provides an upgrade from informal employment in traditional retail but lacks the labour absorption capacity of agriculture-driven retail.
14. **Better Pay Advantage:** Despite lower labour absorption, e-commerce compensates with higher wages compared to traditional retail.
15. **Balanced Growth Needed:** Policymakers must ensure e-commerce growth does not disproportionately harm traditional retail sectors.

Practice Exercise: Banking Pattern Based



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